ELSEVIER

Political Geography 24 (2005) 850–873

Political Geography

www.elsevier.com/locate/polgeo

Spatially selective liberalization and graduated sovereignty: Politics of neo-liberalism and "special economic zones" in South Korea

Bae-Gyoon Park*

Department of Geography, National University of Singapore, 1 Arts Link, Singapore 117570, Singapore

Abstract

In this paper, I seek to examine the ways in which the sovereign territoriality of the state has been contested and (re)constructed in relation to globalization and economic liberalization, especially in the context of the East Asian developmental state. In particular, by building on Aiwa Ong's concept of "graduated sovereignty", I will address how the forms of state regulation and sovereignty can be spatially differentiated or graduated within a national territory, with a focus on the spatial processes of economic liberalization in South Korea. In focusing on a recent globalization project of the Korean government, which aims to develop global hubs of international movement of capital and skilled labor in several localities by designating these "economic free zones", my analytical focus in this paper is on answering this question: Why and under what political and economic circumstance has the Korean government decided to use this spatial strategy? More specifically, I argue in this paper that the strategy of building "special economic zones" in South Korea is partly a spatial outcome of East Asian "neo-liberalization", stemming from politically contested interactions between inherited institutional forms and policy frameworks of the developmental state, and the emergent forces of economic liberalization. In other words, the Korean government's project to build "economic free zones" can be considered a strategy of "spatially selective

* Tel.: +65 6874 3863; fax: +65 6777 3091.
E-mail address: geopbg@nus.edu.sg

0962-6298/$ - see front matter © 2005 Elsevier Ltd. All rights reserved.
doi:10.1016/j.polgeo.2005.06.002

liberalization''; it demonstrates strong properties of path dependency, in which established institutional arrangements constrain the scope and trajectory of neo-liberal reform in South Korea.
© 2005 Elsevier Ltd. All rights reserved.

Keywords: Neo-liberalization; Spatially selective liberalization; Globalization; Developmental state; Graduated sovereignty; South Korea

---

Traditionally, state territoriality and sovereignty have been seen to manifest themselves within fixed boundary lines. Political geographers and political scientists, however, have increasingly called for openness in understanding the territoriality of state sovereignty, with the argument that there is no need to comprehend a state's territory and its boundary as closed and strictly bound entities (Agnew, 1994; Ong, 2000; Passi, 2003). In particular, with increasing economic flows across national boundaries in the globalizing economy, increasing numbers of political geographers have become interested in the ways in which state territoriality has been challenged by the actors and forces that cross the boundaries of formal state territories.

Based on this general theoretical orientation, I aim to examine the ways in which the sovereign territoriality of the state has been contested and (re)constructed in relation to globalization and economic liberalization, especially in the context of the East Asian developmental state. In particular, by building on Aiwa Ong's concept of ''graduated sovereignty'', I will address how the forms of state regulation and sovereignty can be spatially differentiated or graduated within a national territory, with a focus on the spatial processes of economic liberalization in South Korea.

South Korean governments have actively promoted the globalization of the ''national economy''; this was accelerated in the 1990s, especially after the financial crisis. In particular, the state has drastically shifted its policy positions toward international investment and trade—from a nationalist and protectionist orientation to liberalization. In this context, the South Korean government recently announced an ambitious plan to develop global hubs of international movement of capital and skilled labor in several localities, designating these ''special economic zones'', ''economic free zones'', and ''international free cities''. In this paper, I will question why and under what political and economic circumstances the Korean government has decided to use this spatial strategy.

The idea of ''special economic zones'' is nothing new. As Woo-Cumings (2003, 12) has pointed out, while developing countries were taking off on the wings of an abundant supply of cheap labor that was used to produce low-end products for the rest of the world, the favored idea of spatial organization was called ''special economic zones'', ''export processing zones'', or ''special export zones''. In other words, this spatial strategy has been widely used by many developing countries that were promoting export-oriented industrialization. Consequently, the question that may be asked is why South Korean policy-makers have revived this old idea in this new millennium.

Old V.S. New

One answer to this question can be provided by using the concept of the "hub economy". With economic globalization, it has been widely suggested that moving from a manufacturing-oriented to a service-oriented economy requires the development of global hubs for the international movement of capital, goods, technology and skilled labor within the national territory. A way to develop these global hubs may be to build special zones—which can be called "special economic zones", "economic free zones" or "international free cities"—in which the government provides preferential support, and greatly relaxes its regulations on business activities in order to attract international investment, and foreign technology and expertise. It may certainly be true that this kind of economic rationality provides an important background for the revival of the idea of "special economic zones" in South Korea.

In this paper, however, I argue that the revival of this spatial strategy in South Korea is not merely an outcome of policy choice based on an economic rationality, but results from very complex political processes and negotiations among conflicting interests. More specifically, I see the revived strategy of building "special economic zones" in South Korea partly as a spatial outcome of East Asian "neo-liberalization", stemming from politically contested interactions between inherited institutional forms and policy frameworks of the developmental state, and the emergent forces of economic liberalization. In other words, the Korean government's plan to build "special economic zones" or "economic free zones" can be considered a strategy of "spatially selective liberalization"; it demonstrates strong properties of path dependency, in which established institutional arrangements constrain the scope and trajectory of neo-liberal reform in South Korea.

Theoretical background: "graduated sovereignty" and the politics of "neo-liberalization"

For the last decade, there has been increasing criticism of a state-centered account of spatiality, which has tended to link state power and territorial sovereignty intimately together. In particular, Aiwa Ong's concept of "graduated sovereignty" gives valuable insights into the reconstruction of territoriality of the state in the globalizing era. According to Ong (2000), "graduated sovereignty" refers to the state's differential treatment of the population based on ethno-racial differences and the dictates of developmental programs. Ong (2000, 57) proposes two aspects of graduated sovereignty. The first is related to the differential treatment by the state of segments of the population in relation to market calculations; thus, intensifying the fragmentation of citizenship that was already pre-formed by social distinctions of race, ethnicity, gender, class and region. The policy of *bumiputra* in Malaysia is an example of this aspect of "graduated sovereignty". The second aspect of the state's differential treatment of the population is associated with the development of production and technological zones (for example, "export process zones"), in which some aspects of state power and authority are taken up by foreign corporations. Thus, the concept of "graduated sovereignty" explains how state sovereignty can be

differentiated and graduated within a national territory with reference to the situation at hand, in which the state flexibly experiments with different forms of sovereignty and governance by imposing different disciplines or privileges on different segments of the population, in relation to market calculations.

With respect to "graduated sovereignty", however, an important question has not been satisfactorily answered: What leads to the state's flexible experimentation with different forms of sovereignty? Why does the state want to treat segments of the population differently? Actually, Ong (2000) provides an answer to this question. Attributing the state's differential treatment of the population to the former's interaction with global forces, she argues that in order to be globally competitive in the globalizing economy, the state treats segments of the population differently in relation to their varying degrees of participation in globalized market activities. This explanation is, however, unsatisfactory in explaining what leads to the state's differential treatment of the population. It is especially too simple as an explanation of the actions of the capitalist state, allowing little reflection of the complex relations between state and society.

In understanding the actions of the state in the capitalist economy, I rely on a "society-centered" view of the state in this paper. Even though this view admits that class relations and capital-accumulation processes have crucial constraining and enabling effects on the forms and functions of capitalist states and that the capitalist state needs to carry out the economic functions required by capital (for example, maintaining capitalist property rights, providing infrastructure and educated workers, etc.), it emphasizes that class forces do not mechanistically produce the sort of capitalist state needed for capital accumulation and the reproduction of capitalist social relations (Glassman, 1999, 677). Instead, the state is seen as a site of struggle and contestation among diverse forces acting in and through the state, including different branches of the state, class forces, gender forces, regional interests, etc. (Glassman, 1999; Jessop, 1990). In this sense, the state is "not a unitary or homogeneous entity but rather is an ensemble of different institutions among which there is enough contention to insure that there is no simple, mechanical production of the kinds of policies favored by any one element of the capitalist class" (Glassman, 1999, 677). Thus, the actual activities of the state rely on how the forms and functions of the state are produced and reproduced through social struggle. In other words, according to this "society-centered" view of the state, the specific actions of the state need to be understood in terms of the political struggles and collaborations among social forces and class fractions, which want to pursue their interests or ideas by producing or reproducing certain forms or functions of the state.

The globalization of economic activities, however, implies that the ways in which the state's actions are determined become more complicated. In particular, according to Glassman (1999, 678), the internationalization of capital creates problems related to territorial non-coincidence between the economic reach of international firms within the global economy and the political reach of nation-states that have economic responsibilities vis-à-vis these internationalized fractions of capital. The need to resolve this non-coincidence increases the possibilities for alliances of the more globally oriented and internationalized fractions of capital (for example,

TNCs, financial capital, etc.), which want to have more influence on state policies. Under increasing pressure from the more internationalized fractions of capital, the state has become more "internationalized" in the sense that state action increasingly takes place in a much wider international context. More specifically, the state apparatus becomes increasingly oriented toward facilitating capital accumulation for the most of international investors, regardless of their nationality (Glassman, 1999, 673). Also, policy regimes are becoming more oriented toward a focus on "international competitiveness". As alliances between the state and more globally oriented fractions of capital become stronger, the state has become oriented toward neo-liberal policies in order to promote international accumulation.

This tendency toward the "internationalization" of the state, however, is not simply the outcome of political alliances between the state and internationalized fractions of capital, which are driven by global economic forces and logic. Recent literature on globalization has emphasized that neo-liberal changes and the globalization of the state have been materially and discursively constituted of complex interactions among diverse social, political, and economic processes occurring at various geographical scales (Cox, 2005; Dicken, Peck & Tickell, 1997; MacKinnon & Phelps, 2001; Park, 2003; Yeung, 2002). In other words, the tendency toward an "internationalization" of the state may be significantly influenced through the roles of various social and political actors; and political, ideological, institutional and economic conditions at various geographical scales.[1] Furthermore, the tendency toward the internationalization of the state is not a complete process. There are various forms of resistance and counter-tendencies to this process. Given this, the internationalization of the state should involve very dynamic and politically contested processes.

A recent special issue of *Antipode* on "The Urbanization of Neo-liberalism" provides insights into these political processes. An important point made in the issue was the emphasis given to the path-dependent character of neo-liberal reform projects. In particular, focusing on the so-called "actually existing neo-liberalism", Brenner and Theodore (2002) emphasize the contextual embeddedness of neo-liberal restructuring projects insofar as they have been produced within the national, regional, and local contexts defined by the legacies of inherited institutional frameworks, policy regimes, regulatory practices, and political struggles. More specifically, they argue that "an adequate understanding of actually existing neo-liberalism must explore the path-dependent, contextually specific interactions between inherited regulatory landscapes and emergent neo-liberal, market-oriented restructuring projects on a broad range of geographical scales" (Brenner & Theodore,

[1] Similarly, Cerny (in press) argues that the neo-liberalization of the state is "overdetermined", in the sense that multiple actors and dimensions play a role in the process. According to him, the following actors and dimensions are especially important in the change toward neo-liberalism: (1) state actors (politicians, bureaucrats, political parties, etc.); (2) "global governance" institutions (like The World Bank, IMF, WTO, the G7/8, etc.); (3) wealthy countries (for example, the United States); (4) international businesses; and (5) the "discourse" of neo-liberalism.

2002, 351). In this sense, it is suggested that recent restructuring processes need to be understood as "neo-liberalization" rather than neo-liberalism. In other words, the recent changes induced by neo-liberal reform projects need to be seen as "a historically specific, ongoing, and internally contradictory process of market-driven sociospatial transformation, rather than as a fully actualized policy regime, ideological form, or regulatory framework" (Brenner & Theodore, 2002, 353).

Such processes of neo-liberalization may deeply influence the spatiality of the state. In particular, nation-states have experienced a significant restructuring of their spatial and scalar organizations. Recent literature on urban and regional development has explained these spatial changes of the state in terms of "glocalization", "hollowing-out of the state" and "the rise of new regionalism" (Jessop, 1994; MacLeod, 2001; Swyngedouw, 1997). According to Brenner (2003), the "glocalization" of the state space is associated with the state's spatial strategies to differentiate national political–economic space through a re-concentration of economic capacities within strategic sub-national sites such as cities, city-regions and industrial districts, which are in turn to be positioned strategically within global economic flows. In this sense, the rise of the "glocalized" state space is associated with the state's differential treatment of the population because different regulatory rules or institutions can be established in the selected strategic urban and regional growth centers. The emergent "glocalized" spatiality of the state, however, should not be seen as a necessary outcome of neo-liberalism or broader regulatory changes. Rather, as Brenner (2003) highlights, it needs to be viewed as forged through a dialectic of strategic interaction and socio-political contestation within and beyond state institutions, which happen with respect to the changes toward neo-liberalization.

In building on this view, I suggest more specifically in this paper that the state's geographically differentiated treatment of the population through the "glocalization" of state spatiality can be deeply influenced by politically contested interactions between inherited institutional forms or spatial organizations of regulation, and emergent forces of economic liberalization. This is especially so when a drastic and full-scale shift to neo-liberalism seems impossible due to firm resistance from social forces, which insist on defending existing institutional and spatial frameworks of regulation; the state may utilize the strategy of "spatially selective" liberalization by imposing more liberalized regulatory frameworks only to selected spaces. In other words, the reason the state treats the population differentially by imposing different forms of regulation and governance in selected areas can be, at least partly, explained in terms of the political negotiations between the defenders of the old regulatory frameworks and the proponents of neo-liberal reform. Furthermore, due to the strong properties of path dependency—in which established institutional arrangements constrain the scope and trajectory of neo-liberal reform—even the selected (and supposedly) "neo-liberal" spaces cannot be filled with truly neo-liberal rules or institutions; instead, they can be constructed as hybrid spaces composed of neo-liberalization and the existing regulatory strategies. Nevertheless, regardless of whether the selected spaces are truly neo-liberal or hybrid, the processes of "spatially selective" liberalization may facilitate the state's imposition of different regulatory

rules, disciplines or privileges to different segments of the population living in different sub-national spaces; thereby, resulting in the graduation or differentiation of state sovereignty within a national territory.

Research context: developing special economic zones in South Korea

In April 2002, the Korean government unveiled an ambitious project for a "Northeast Asian Business Hub". Aimed at creating a business hub in Northeast Asia, this project focused on developing Korea into a financial, business and logistic center in Northeast Asia. The action plan for this project, which was announced in July 2002, included the improvement of logistics infrastructure (for example, the expansion of airports, seaports and railroads, the development of an efficient logistics network, etc.); and the development of international business and financial centers through the establishment of special economic zones, in which foreign direct investment and the location of regional headquarters of TNCs, foreign IT and media firms, and foreign financial institutions would be strongly encouraged. Following the announcement of the action plan, the National Parliament in November 2002 enacted a bill on the special economic zones, called "Free Economic Zone (FEZ)". This law allows the Korean government to provide various incentives and benefits to those foreign firms operating in designated FEZs—in order to attract foreign investment and foreign firms into the special economic zones. By September 2003, the Korean government had designated three FEZs: (1) Incheon FEZ; (2) Busan and Jinhae FEZ; and (3) Gwangyangman FEZ (see Fig. 1).

Simply speaking, this project focuses on creating special areas in which the government imposes different regulatory rules on private economic activities. In these FEZs, for example, companies will be exempted from paying income and corporate taxes for the first 3 years, and will only need to pay 50% of the amount for the following 2 years. Also, the imposition of land-use regulations on factory construction and enlargement will be minimal, and restrictions on entering businesses reserved for small- and medium-sized firms will be lifted. More importantly, labor regulation will be greatly liberalized in these areas. For instance, currently, employers pay for weekly holidays, while "unpaid" weekly holidays will be allowed. Several other incentives and benefits will be given to foreigners and foreign firms in the FEZs (see Table 1). In this sense, the FEZ project pursued by the Korean government may be seen as an example of the state's differential treatment of the population. In other words, by allowing the imposition of different regulatory rules and by providing different benefits and privileges, the establishment of the FEZs will create a situation where the forms of governance and sovereignty in South Korea can be spatially differentiated and graduated.

The main research question in this paper is: Why does the Korean government want to develop these special economic zones? An answer to this question can be provided on the basis of the concept of the "hub economy". As Woo-Cumings (2003) has pointed out, it has been widely suggested that as manufacturing-oriented economies have shifted to become service-oriented ones through economic

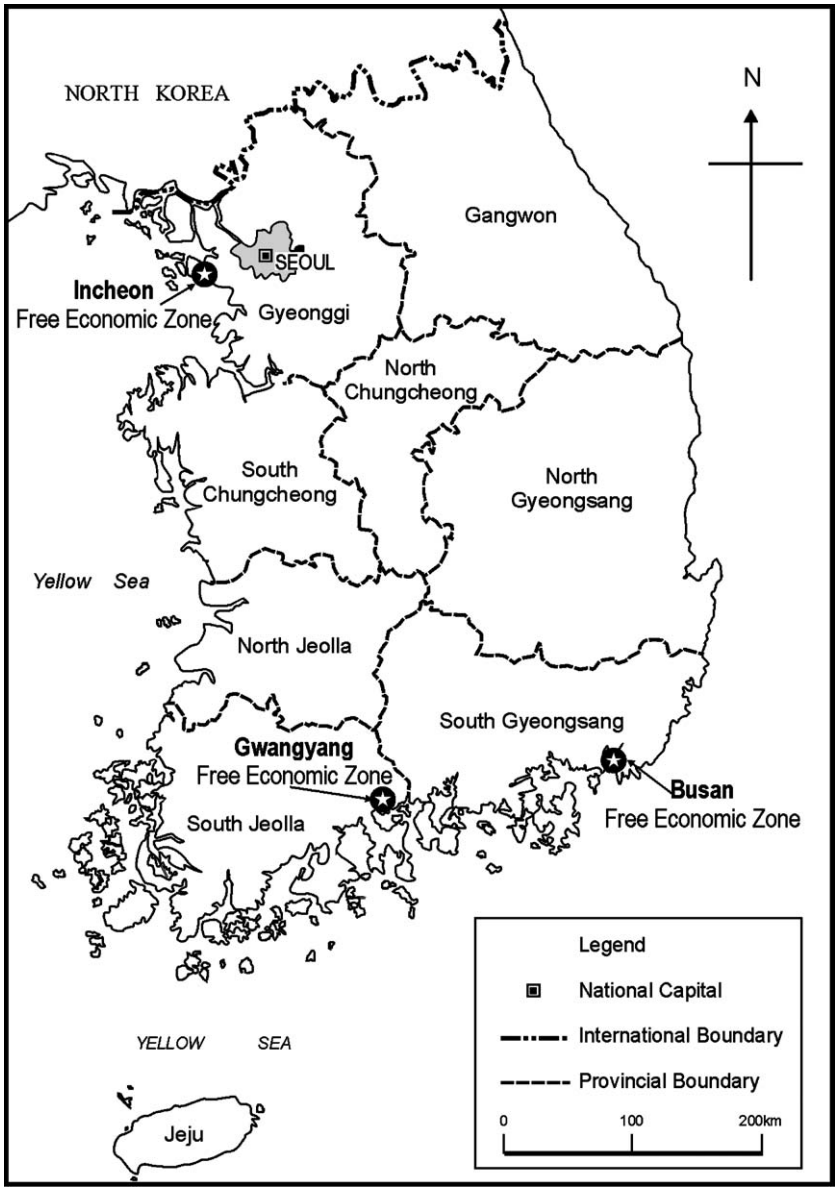


Fig. 1. Location of free economic zones in South Korea.

globalization, the notion of a "hub" has become the leading mode of spatial organization. Thus, many Asian countries have tried to develop big hub economies in their territories, thereby, serving as a kind of "gateway" to various parts of the Asia-Pacific. One way to develop the hub economy may be by building special zones,

Table 1
Incentives and benefits in free economic zones

Sector	Incentives and benefits
Tax breaks	• Income and corporate tax exemptions for the first 3 years and a 50% reduction for the following 2 years (for investments of more than US$50 million, a 100% exemption for the first 7 years and a 50% reduction for the following 3 years). • A flat 17% income tax for CEOs and executives in foreign companies. • Capital goods import tariff exemption for 3 years. • Acquisition, registration, property, and aggregate land tax exemptions for the first 3 years and a 50% reduction for the following 2 years.
Financial support	• Companies that locate in FEZs will either be exempt from or subject to reduced land fees. • Financial assistance for the construction of such facilities as hospitals and schools to make life more convenient for foreigners.
Deregulation	• Minimal land-use regulations governing factory construction and enlargement (currently applicable to the Seoul Metropolitan Area). • Lifting of restrictions on entering businesses reserved for SMEs. • Direct foreign currency payments for current transactions of less than US$10,000 allowed.
Employment and labor management	• Unpaid weekly holidays allowed (currently paid). • Exemption from obligatory employment of veterans, the disabled, and the elderly.
Educational improvements	• Schools can be established by foreign investors. • Domestic residents can attend foreign schools.
Foreign hospitals and pharmacies	• Foreign-financed hospitals and pharmacies for foreigners allowed.
Foreign broadcasting	• The ratio of cable network foreign broadcasting retransmission channels expanded from the current 10% to 20%.
Administrative support	• English allowed for the processing of public documents. • Foreign investment ombudsman's office to be established.

Source: Ministry of Finance and Economy, Republic of Korea (2003).

in which the government provides institutional and financial benefits and incentives to those firms operating in these areas in order to attract international investment, and foreign technology and expertise. Actually, this kind of economic rationality has been an important mode of reasoning for Korean policy-makers to justify the ambitious FEZ project.

My "society-centered" view of the state, however, suggests that the Korean government's FEZ project and "graduated sovereignty", which is expected to occur in South Korea as a result of the establishment of the special economic zones, are not merely outcomes of policy choices based on a certain economic rationality; instead, they may have resulted from very complex political processes and negotiations among conflicting interests and ideas. In particular, based on insights from the literature on "actually existing neo-liberalism", I would like to propose that the special economic zone project in South Korea may be better seen as an outcome of "spatially selective" liberalization, which occurs through the political processes of "neo-liberalization". Therefore, the analytical focus of this paper will be on how the FEZ project in South Korea has been shaped through politically contested

interactions between the inherited institutional and spatial forms and policy frameworks of the "developmental state", and emergent forces of economic liberalization.

"Neo-liberalization" under the inherited regulatory landscape of state-led industrialization in South Korea

Inherited regulatory framework of the "developmental state"

The old regulatory framework in South Korea before the 1990s was based on the active regulatory role played by the so-called "developmental state". The rapid economic growth and successful capitalist industrialization in South Korea from the 1960s to the 1980s would have been impossible without the active intervention of the state in economic activities. The accumulation strategy adopted by the South Korean developmental state focused on the intensive mobilization of capital and labor. First of all, in order to facilitate the intensive mobilization of capital, the Korean state formed a growth coalition with domestic large capitalists (Park, 1998). On the basis of a state-controlled financial regulatory system and nationalistic industrial policies, the state provided preferential financial and institutional support to selected domestic firms that were operating in state-designated strategic industries; in return, the selected businesses followed the government's direction and played a leading role in manufacturing and exporting (Amsden, 1990). In addition, the state set up a system of repressive labor regulation for the intensive mobilization of labor (Park, 2001). It imposed harsh restrictions on labor union activities, which reduced the organizational protection of workers, thereby, forcing them to tolerate harsh working conditions and low incomes.

This regulatory system was essential for the rapid economic growth and industrialization of South Korea. The regulatory role, played by the developmental state, however, had certain spatial selectivity.[2] Thus, the benefits of industrialization, however, were not evenly distributed across the different regions. More specifically, the strategy of export-led industrialization favored the more urbanized and already-industrialized regions. In order to promote export-led industrialization, the Korean government provided much financial and institutional support to labor-intensive export industries such as textiles, clothes, shoes, plywood and wigs. Therefore, those regions with heavier concentrations of these industries were more likely to enjoy the benefits of the industrialization process (Cho, 1991). Since the Japanese colonial

[2] According to Jones (1997), 'spatial selectivity' refers to a tendency of the state to privilege certain places through accumulation strategies and hegemonic projects. Such 'spatial selectivity' is derived from the tendency of what Jessop (1990) terms 'strategic selectivity'. Strategic selectivity refers to the ways in which the state differentially privileges the access of some forces of representation to formulate specific policies and secure their support within the state apparatus, and then to effectively implement these policies in relation to the social and material bases of the state (Jones, 1997, 847). Spatial selectivity refers to the spatial effects of the strategic selectivity.

period (1910–1945), Seoul has been the most industrialized region in Korea. Thus, Seoul and its surrounding cities benefited more from the state's accumulation strategy of export-led industrialization than did other regions. Furthermore, in the 1960s, the Korean government constructed the industrial complexes and physical infrastructure necessary for industrialization, mostly in Seoul, in order to maximize the efficiency of regional policies by taking advantage of existing industrial facilities (KRIHS, 1996).[3] As a result of such spatial selectivity, throughout the 1960s, economic activities were increasingly concentrated in Seoul and its sprawling metropolitan area. In other words, the state's export-led industrialization strategy in the 1960s resulted in the increasing primacy of the Seoul Metropolitan Area.

In response to this increasing economic gap between Seoul and the rest of the country, the Korean government began to introduce various legal and institutional measures from the 1970s to curb Seoul's growth. In particular, it has implemented a wide range of decentralization policies to disperse the population and economic activities away from the Seoul Metropolitan Area, and to promote the growth of peripheral regions. For the last three decades, the Korean regional policies have been primarily characterized by the persistent efforts for decentralization through the construction of industrial complexes in the peripheral regions and strict prohibition on the location of industrial activities in the Seoul Metropolitan Area.

Challenges to the old regulatory framework: democratization and liberalization

From the 1980s, the existing regulatory system began to face increasing challenges. In particular, various national and international forces imposed pressure on the South Korean government to move away from its authoritarian and interventionist policy orientation toward democratization and liberalization (Park, 2003). These internal and external pressures began to be significant from the 1980s.

Internally, by the 1980s, there were increasing popular quests for democratization. Since the 1960s, students and intellectuals—such as professors, ministers, and journalists—who were aroused by the great injustice done to the workers and other subordinated groups, have organized social movements against military authoritarianism, requesting more democracy and a more equal distribution of wealth and social inclusion (Park, 2001). In particular, they viewed the state's preferential support of selected capitalists as having something to do with political corruption, and criticized the growth coalition between the state and *chaebol*s for its exclusivity and biasness in terms of the allocation of resources. In addition, the repressive practices of labor regulation had been another main target of the social movements.

[3] In addition to Seoul, the southeast (including cities and provinces in North Gyeongsang and South Gyeongsang) benefited relatively more than other regions from the export-led industrialization policies in the 1960s (Park, 2003). Due to its practice of spatial selectivity, however, the Korean government's accumulation strategy in the 1960s gave much more favor to Seoul than to the southeast.

From the 1970s, students, intellectuals, and workers organized diverse forms of social movements to protest against the state's repressive labor policies (Park, 2001). Furthermore, democratic transition since 1987 has facilitated the expansion of civil society, in which workers have been able to occupy a strategic position (Kim & Moon, 2000). In this open political space, unions have been able to enhance their organizational and functional strength, and increase their political and industrial bargaining power. As a result, repressive means have become ineffective in the mobilization of labor, because they would only provoke severe resistance from the empowered working class (Park, 2001).

Even though the demands for democratization have been an important challenge to the old regulatory system, a bigger and much more serious challenge has been identified as part of the increasing pressure to liberalize the Korean economy. Pressure for liberalization has come from both internal and external forces. Internally, by the 1980s, some *chaebol*s—on the basis of their increasing economic power—were beginning to see their strategic interests as being better served by a selective relaxation of state regulation on their market activities (Henderson, 1998, 19). Even though the *chaebol*s did not want to ruin their good relationship with the state—so that they could continue to receive various incentives and support from the government—they tried to enjoy relatively more autonomy from the state by campaigning for a deregulated economic environment. Furthermore, owing to processes of political democratization that started in the late 1980s, the *chaebol*s became more politically autonomous from the state; hence, they intensified their pressure for deregulation.

In addition, there was increasing external pressure for deregulation. Until the mid-1980s, South Korean policy-makers had been able to insulate themselves from external pressure for change largely because of the willingness of the United States of America to accept a trade deficit and South Korea's significance to the Western alliance as a frontline state. From about the mid-1980s, however, the United States of America under the Reagan administration began to pressure countries that had large trade surpluses with them to reduce barriers, so as to allow greater access for United States companies by way of both trade and investment (Bishop, 1997, 109). Also, the new General Agreement on Tariffs and Trade (GATT) required member countries to grant greater access to their markets. Furthermore, South Korea's membership of the Organization for Economic Cooperation and Development (OECD) required it to embrace the principle of free capital flows (Yeung, 2002). These circumstances propelled policy-makers in South Korea to adopt a more market-oriented position in relation to trade and investment (Bishop, 1997, 119).

Due to these increasing internal and external pressures, the South Korean government from the 1980s began to relax some of its regulations on business activities. In particular, from the early 1990s, the industrial and financial policies of the South Korean government shifted significantly toward liberalization in financial regulation, exchange-rate management, and investment coordination. This liberalization was so drastic that Chang (1998) even saw it as the demise of "planning" and the "developmental state". Of course, it is questionable if the South Korean "developmental state" saw its demise in the early 1990s, but it is true that the old

regulatory system based on the interventionist role of the "developmental state" has gradually been dismantled. Even more important and drastic changes for liberalization occurred in the late 1990s. The 1997 financial crisis lent crucial momentum to the neo-liberal reforms in South Korea. The IMF's plan for recovery emphasized policy reforms in three major areas: the financial system, corporate governance, and FDI (Bishop, 2001). In other words, the IMF asked the South Korean government to implement more drastic and extensive neo-liberal reforms in exchange for rescue loans to bail out the troubled economy. As a result, liberalization was greatly accelerated in South Korea.

These liberalization reforms have profoundly altered the foreign investment environment in South Korea. Responding to these changes enthusiastically, foreign companies have rapidly increased their investments in the nation. For example, the amount of inward FDI increased almost fivefold from US$3203 million in 1996 to US$15,690 million in 2000. Actually, since 1997, South Korea has been one of the most successful countries in Asia in attracting FDI. This change is clearly shown in the trends of FDI inflows and outflows in the nation (see Fig. 2). Until 1997, South Korea always had higher volumes of outward FDI than inward FDI. As a result of the financial liberalization of the South Korean government, from 1998, the volume of inward FDI rapidly increased and began to outweigh the volume of outward FDI.

Resistance to liberalization and "spatially selective liberalization"

Despite these drastic liberalization reforms, the South Korean government has not fully liberalized its economy. This is because there are still significant social and political barriers to liberalization. These barriers are related to the legacies of the old regulatory system. In particular, some social actors, who had benefited from—or at least grown up within the socio-political context of—the old regulatory framework have been very critical of the ideas of liberalization and deregulation.

First, the *chaebol*s have put great pressure on the government to maintain protectionist policies for domestic companies. Even though they have criticized

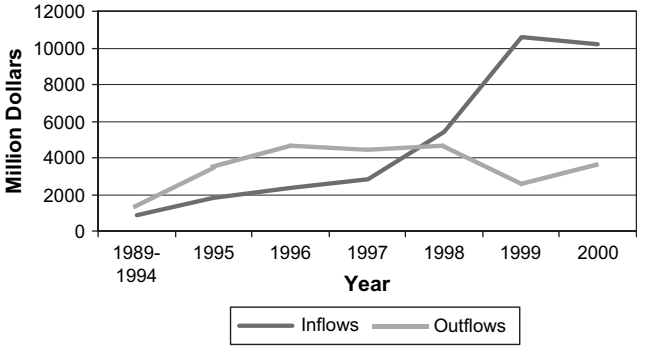


Fig. 2. FDI inflows and outflows of South Korea (1989–2000). *Source*: United Nations Conference on Trade and Development (2001).

interventionist policies and publicly advocated deregulation, they still want a "protectionist government" to maintain financial and institutional support for domestic businesses. In other words, the *chaebol*s were keen to preserve the protection of cheap credit while demanding that the government not use finances to restrict their operations (Amsden & Euh, 1993, 380). Thus, the general deregulatory pressure by the *chaebol*s fell short of their rhetoric for supporting economic liberalization as desired by advocates of neo-liberal reform (Bishop, 1997, 112). Rather, the *chaebol*s have been very resistant to those policies that seek to terminate "government–business collusion" as a way of restructuring the *chaebol*s (Gills & Gills, 2000).

Second, another important barrier to liberalization is related to the path-dependent attitude of bureaucrats to the idea of opening doors to foreign investors. In the 1960s and the 1970s, the South Korean government was successful in promoting national economic growth on the basis of a state-led and interventionist industrialization paradigm, which had emphasized the prominence of the state, rather than the market, in influencing economic activity. Also, with the growth alliance between the state and the *chaebol*s, the state-led industrialization program contained a strong nationalist orientation, thereby, promoting the development of domestic firms. The ordinary bureaucrats had been strongly influenced by this tradition. In particular, bureaucrats in the Ministry of Commerce and Industry—the main office to set up and implement industrial policies—had developed a strong nationalist attitude toward the development of national industries (Bishop, 1997). In addition, there had been concern that the state's withdrawal from a strongly interventionist role in economic activity would result in less power for the bureaucracy. In this context, with regard to neo-liberal reform, some of ordinary bureaucrats had been somewhat unwilling to abandon the interventionist and nationalistic policies of the past, despite that top policy-makers' had advocated for more drastic neo-liberal reform (Bishop, 1997).

Third, labor unions have strongly opposed to the idea of liberalization, especially with respect to the neo-liberal reforms of labor regulation. Labor unions in South Korea have grown up through social struggle against the repressive practices of labor regulation. Also, they have greatly increased their political and industrial bargaining power on the basis of the democratic transitions since 1987. Given the empowerment of the working class since the late 1980s, there have been increasing needs for the development of an alternative system of labor regulation, based on more balanced power relations between capital and labor. The establishment of a new system of labor regulation has been unsuccessful, however, due to unsettled conflicts among the state, capital and labor (Park, 2001). Thus, the hostility between capital and labor continued. While workers called for higher wages, greater bargaining power and workplace democracy, management was actively seeking wage stability through the creation of more flexible labor-market conditions (Kim & Moon, 2000, 57). In this context, when the Korean government tried to enact a new labor law in 1997 that focused on the enhancement of labor-market flexibility, labor unions strongly protested against the labor reform by organizing massive strikes. More than 500,000 workers, approximately 82% of total organized workers, joined the strikes held in

January 1997 in support of the re-amendment of labor law (Park, 2001). Nevertheless, labor-market flexibility has been greatly increased by a series of labor reforms made before and after the 1997 financial crisis. Also, post-crisis economic restructuring has led to mass unemployment, increased employment insecurity, and a sharp reduction in workers' incomes, wealth, and welfare. Given this situation, labor unions are in no position to accept further liberalization and labor reforms.

As a result of these barriers and the resistance to liberalization, some of the regulations on business activities and labor market still remain, leading foreign investors in South Korea to complain about the lack of liberalization. For example, a survey by the American Chamber of Commerce in South Korea indicates that foreign businesses in Korea cite heavy regulations and labor inflexibility as the worst obstacles restricting them from investing in South Korea ("Is Korea Attractive for Business?", 2001). Foreign investors especially complained about the inflexible labor market in South Korea, in the sense that it is very hard to fire workers when the need arises. Given this situation, and in order to more aggressively attract FDI, Korean policy-makers have wanted to build a more business-friendly environment by substantially lifting regulations. It has been very difficult to push for further deregulation and liberalization on a large scale, however, due to enormous social resistance from various forces.

Given this situation, the Korean government decided to develop special economic zones in which more drastic deregulation and liberalization measures could be implemented. In other words, the Korean policy-makers took the strategy of "spatially selective liberalization" because it was seen as being more acceptable than broader liberalization reforms on a larger scale. With regard to this, a statement by former Prime Minister Nam Duck-Woo is quite interesting. In an interview with *Korea Herald*, he said:

> We cannot make the entire nation as special economic zone because of political and social barriers. Hence we need to limit a special economic zone to a specified area. Let's hope that the boundary of the SEZ gradually expands to cover the entire nation through a learning process ("Korea's new vision: hub plan need to focus on logistic infrastructure construction", 2002).

In other words, the promotion of the FEZ project is an outcome of politically contested interactions between the resisting forces against liberalization and neo-liberal reformers in South Korea.

Continuing interplay between inherited and emergent regulatory projects

The strategy of "spatially selective liberalization"—more specifically, the FEZ project—cannot completely resolve the political tensions taking place with respect to the processes of "neo-liberalization" in South Korea. Instead, the FEZ project has provided a new arena, in which another round of battle between the proponents and opponents of neo-liberal reforms can be waged. Since the policies for developing FEZs are not fixed but are continuously (re)constructed through socio-political processes, the actual contents of the FEZ project would have been, and will be,

significantly influenced by the ways in which different interests and ideas are mediated and (re)negotiated through political struggle. This section discusses how the dialectical interplay between inherited and emergent regulatory projects has ensued with respect to the FEZ project.

Interplay between inherited and emergent spatial strategies

With respect to the FEZ project, an interesting negotiation was made between inherited spatial selectivity of the "development state" and the emergent "neo-liberal" spatial strategy. This interplay was clearly reflected in the decision-making processes for the location of FEZs. In 2003, three cities—Incheon, Busan and Gwangyang—were designated FEZs. Yet, in the original plan for the "Northeast Asian Business Hub", proposed in April 2002, only Incheon was considered a possible location for a special economic zone because it was seen to have the greatest potential in becoming a financial and logistic hub of Northeast Asia, due to its geographical proximity to Seoul and being equipped with a world-class international airport and the third largest port in the nation ("Three areas in Incheon—Yeongjongdo, Songdo, and Kimpo—will be designated as a special economic zone next year", 2002). The other two cities, Busan and Gwangyang, were not included in the original plan.

This original plan, however, was harshly criticized for aggravating the effects of regional disparity between the Seoul Metropolitan Area and the rest of the country. As discussed earlier, reducing the regional economic gap by promoting a de-centralization of population and industrial activities from the Seoul Metropolitan Area has been one of the most important *spatial* strategies of the South Korean "developmental state" for the last 30 years. Despite the widely accepted criticism of the decentralization policies for their ineffectiveness, the spatial strategy was successful, at least, in slowing down the growth of the Seoul Metropolitan Area. As shown in Table 2, the Seoul Metropolitan Area's share in national manufacturing employment increased by 8.5% from 1963 to 1972, while it increased by only 0.3% from 1972 to 1982. On the contrary, the southeast became more important in manufacturing employment in the 1970s, mainly because several industrial complexes were built in the southeastern coastal areas at that time. In other words, the South Korean developmental state was able to reduce the primacy of the Seoul Metropolitan Area to some degree by the late 1970s on the basis of its decentralization policies.

Since the 1990s, however, the economic gap between Seoul and the rest of the country has widened again due to changes in the spatial selectivity of the government's industrial and regional policies. Given the increasing significance of the information-related industries, from the late 1980s, the government's industrial policies began to focus on the promotion of knowledge-based and technology-intensive industries. This industrial restructuring has resulted in the concentration of high-tech industries in the Seoul Metropolitan Area. Since most top universities, important R&D laboratories and information-related activities had still been con-centrated in the Seoul Metropolitan Area despite the government's decentralization

Table 2
Regional distribution of manufacturing employment (1963–2002)

	1963	1972	1982	1992	2002
The Seoul Metropolitan Area					
Seoul	26.0%	30.8%	20.6%	13.7%	10.7%
Incheon	–	–	6.9%	7.6%	7.7%
Gyeonggi	9.2%	13.0%	16.6%	24.8%	28.2%
Total	35.3%	43.8%	44.1%	46.0%	46.6%
The Southeast					
Busan	14.9%	15.7%	15.8%	10.0%	6.6%
Daegu	–	–	6.8%	5.2%	4.8%
Ulsan	–	–	–	–	4.9%
North Gyeongsang	13.9%	10.5%	6.0%	7.7%	7.8%
South Gyeongsang	5.0%	7.6%	11.9%	13.8%	10.4%
Total	33.8%	33.8%	40.4%	36.6%	34.4%
The Southwest					
Gwangju	–	–	–	1.6%	1.9%
North Jeolla	5.5%	3.3%	2.6%	2.7%	2.6%
South Jeolla	6.7%	6.7%	3.3%	2.8%	2.6%
Total	12.2%	10.0%	5.9%	7.1%	7.1%
The Chungcheong region					
Deajeon	–	–	–	1.6%	1.3%
North Chungcheong	3.2%	2.0%	1.9%	3.2%	3.9%
South Chungcheong	6.1%	5.2%	4.5%	3.2%	5.0%
Total	9.3%	7.2%	6.4%	8.1%	10.2%
Gangweon	8.7%	4.9%	2.9%	2.1%	1.5%
Jeju	0.7%	0.4%	0.2%	0.2%	0.2%
National total	100.0%	100.0%	100.0%	100.0%	100.0%
	462,068	1,045,201	2,186,632	2,852,371	2,712,310

Source: Korean National Statistical Office. Available online: http://www.nso.go.kr.

efforts, the Seoul Area has provided the most favorable conditions for the growth of high-tech industries. As a result, the Seoul Metropolitan Area has attracted many new industries and has become a specialized center of information-related and high-tech activities since the 1990s.

Furthermore, the Korean government has attempted to change its spatial strategies since the 1990s. Given increasing international competition, the central officials from the mid-1990s began to emphasize the important role of Seoul and the surrounding urban regions in leading the growth of new, high-tech industries. The government has subsequently adopted new regional policies through which the agglomeration economies of the Seoul Metropolitan Area are to be maintained so as to be feasible for industrial competitiveness in the world market (Yim, 2003). More specifically, some regulations on the location of industrial activities in the Seoul Metropolitan Area have been greatly relaxed. As a result, the primacy of Seoul has been greatly strengthened since the 1980s. Table 2 shows that the Seoul Metropolitan Area's share of national manufacturing employment has been continuously

increasing since 1982, while other region's (including the southeast) shares have been declining in this same period.

Given this situation, from the mid-1990s, there was increasing criticism from cities and regions outside the Seoul Metropolitan Area towards the new spatial strategy adopted by the state, which has been considered the main reason for the increasing gap between the Seoul Metropolitan Area and the rest of the country. In this context, an important concern about the government's original plan to develop a special economic zone in Incheon was that because of Incheon's location within the Seoul Metropolitan Area, the project might aggravate the concentration of economic means and population in the Seoul Metropolitan Area. In other words, the original plan for a special economic zone was seen to be tantamount to the virtual scrapping away of the long-held decentralization policy ("Blueprint for NE Asian Hub, survival for Korea", 2002). Thus, when the original plan was first announced, cities and provinces outside the Seoul Metropolitan Area protested strongly. It was necessary for the special economic zone project to address the issue of uneven regional development; hence, the government came up with a new plan to include Incheon, Busan and Gwangyang as special economic zone locations ("Heaven and hell in Korea", 2002).

Creation of hybrid spaces

Another important issue around which political battles have taken place has to do with the nature of the special economic zones. When the plan to develop special economic zones was first proposed in 2002 under the Kim Dae-Jung administration, these zones were mainly planned as financial and logistic centers in Northeast Asia. With emphasis on the urgency for a full range of financial liberalization measures, neo-liberal reformers within the government, especially those in the Ministry of Finance and Economy, aimed to develop financial centers within the national territory through the special economic zone project.[4]

There are, however, those who have been less enthusiastic about financial liberalization within the government, as they have been more skeptical of the idea of developing financial centers. This is especially the case with the Ministry of Commerce, Industry and Energy—the main office in charge of industrial policies and manufacturing development since the 1960s—which has suggested that more emphasis be placed on the development of high-tech manufacturing and R&D activities in the special economic zones. With the election of President Roh Moo-Hyun in December 2002, this view became even more influential in the formulation of plans for FEZs because the newly elected president and his camp had been relatively more critical than former president Kim Dae-Jung of drastic neo-liberal

[4] This is based on an interview with an official in Presidential Committee on Northeast Asian Business Hub, held in June 2003.

reforms.[4] Thus, after the presidential election in December 2002, the presidential transition team began to emphasize that the Northeast Asian business hub vision would initially target the building of a regional information technology manufacturing base in South Korea (''Business hub plan to focus on IT'', 2003). Also, seeing that it would be unlikely for TNCs operating in Hong Kong and Singapore to relocate their regional headquarters to South Korea just for the sake of more incentives and tax breaks, the transition team suggested that the special economic zones be developed as global R&D hubs in Northeast Asia (''Sondgo to be developed into IT research hub'', 2003).

What makes this renewed idea on special economic zones very different from the previous one is its emphasis on the creation of ''sticky places'', to which TNCs are more attached and become less mobile, in the special economic zones. In the previous plan, the emphasis was mainly put on the relaxation of regulations on business activities and the provision of financial and institutional incentives and benefits to foreign firms operating in the special economic zones in order to attract FDI; while policy-makers in the new administration began to look for opportunities to attract foreign investment and receive benefits from TNCs without providing too many incentives and benefits.[4] For this purpose, the transition team proposed the development of an attractive industrial cluster first in the special economic zones, and then to use the attractiveness of the cluster as leverage to attract foreign firms to the areas and develop financial and logistics hubs (''Sondgo to be developed into IT research hub'', 2003).

This new idea, however, has not fully materialized in the FEZ project due to strong resistance from neo-liberal reformers both within and outside the government. Within the government, the Ministry of Finance and Economy has strongly opposed the idea proposed by the presidential transition team, instead emphasizing the urgency of developing financial centers in special economic zones.[4] Neo-liberal reformers outside the government also attacked the new idea. The Seoul Financial Forum, organized by a group of leading economists in South Korea, for example, strongly advised the government to focus on financial centers (''President-Elect Roh Advised to Focus on Financial Hub'', 2003). Support for the financial centers idea came also from foreign investors. At a seminar hosted by the Federation of Korean Industries, for example, William Oberlin—the president of the American Chamber of Commerce in South Korea—said: ''all economic centers start with finances. It is urgent Korea designs a plan for transforming Seoul into a financial hub'' (''AmCham head says finances key to hub project'', 2003). Through the processes of political negotiation, these two different views on special economic zones have been mixed, and the Korean government has decided to focus on both financial centers and the R&D hub in developing special economic zones. In other words, the special economic zones will not become truly neo-liberal spaces filled with neo-liberal rules and institutions. Rather, the dynamic interplay between the inherited regulatory forces of the developmental state and the emergent neo-liberal forces have resulted in the creation of ''hybrid spaces'', composed of neo-liberalization and active state intervention in industrial development, in the special economic zones.

Continuing political battle

In addition to these issues, there are a lot of other issues around which political battles are taking place. In particular, anti-neoliberalism forces in South Korea (including labor unions, NGOs, etc.) have strongly opposed the FEZ project since the government's first proposal of the plan in April 2002. They have seen it as "a first step toward a full-scale change for liberalization", even though liberalization at this moment is meant only for selected areas.

In particular, labor unions have fervently protested against some proposed changes in labor regulation for foreign firms operating in the special economic zones. Under the current labor law, for example, firms can relocate workers only for 26 government-designated workplaces for a period of up to 2 years, but the plan for special economic zones proposes to allow foreign companies in these zones to freely relocate their employees to other workplaces. Also, under the current labor law, firms have to give all employees a paid day off every month, but the government has proposed unpaid monthly leave for workers in special economic zones. Fearing that these "benefits" in special economic zones will be eventually extended to firms in the entire nation, labor unions have severely criticized the FEZ plan ("Labor Threatens Strike Against Law on Special Economic Zones", 2002).

The anti-neoliberalism groups have also criticized the plan to deregulate the establishment of foreign education institutes in special economic zones. Allowing foreign education institutes that are meant only for foreigners is not a big issue, but the Korean government plans to allow domestic residents to attend foreign schools in the FEZs in order to increase the size of the education market for foreign schools, thereby, facilitating the location of more foreign education institutes in the FEZs. The education circle, including NGOs and even the Ministry of Education, have resisted to the FEZ plan, with the argument that the liberalization of the education market and the influx of foreign schools will destroy an already troubled public education system in South Korea ("An SEZ dilemma", 2002). The proposed deregulation of foreign investment in the medical sector in special economic zones has been another issue criticized by anti-neoliberalism groups. Under current regulation in South Korea, medical service centers are not allowed to be established for profit but only for public benefits; allowing foreign-financed hospitals and pharmacies in special economic zones may be seen as the start of the liberalization of the medical market in South Korea (Choi & Yoon, 2002). The anti-neoliberalism camp has argued that the effects of medical market liberalization will be devastating for the Korean people because high-quality medical services will only be made available to those who can afford it, while the majority will be left lacking in basic healthcare.

As a result of such resistance, the government's original plan for the establishment of special economic zones was modified by the time the bill on special economic zones, called "Free Economic Area Law", was finally approved by the National Parliament in December 2002. For example, due to resistance from labor unions to the original plan, the modified bill does not allow the relocation of blue-collar workers in the manufacturing sectors (Lee & Park, 2003, 70). The modification in the

bill, however, was minor and the basic concept was not changed. Despite some other minor changes, the FEZ project still basically calls for relaxed regulations for foreign companies and their employees residing in FEZs in order to provide them with a better business and living environment. Thus, protests against the FEZ project have continued even after the "Free Economic Area Law" was passed by the National Parliament in December 2002.[5]

Conclusion

By focusing on the special economic zone project recently pursued by the South Korean government, I aim in this paper to examine the complex political processes through which state sovereignty can be re-territorialized in this globalizing economy. The special economic zone project facilitates the "state's differential treatment of the population" within the national territory of South Korea by imposing different forms of governance and regulatory rules within and outside the special economic zones. In order to understand the complexities of the political processes that have contributed to the state's differential treatment of the population and the resultant "graduated sovereignty" in South Korea, I have attempted to explore the driving forces behind the special economic zone project. In particular, I have examined how the special economic zone project has been created and (re)shaped through complex political struggle, and processes associated with "neo-liberalization" in South Korea.

More specifically, by viewing the special economic zone project as a spatial outcome of "East Asian neo-liberalization", my analysis has focused on how and why the state has taken up the strategy of "spatially selective liberalization" within the context of politically contested interactions—between the opponents of neo-liberal reform, who have grown up under the socio-political context of the old regulatory framework of the developmental state; and the proponents of neo-liberal reform. More specifically, this paper has suggested that even though diverse internal and external forces have promoted diverse forms of neo-liberal reform in South Korea, the path-dependent and politically contested interactions between the inherited regulatory landscape and the emergent neo-liberal restructuring projects have made it very difficult to realize abrupt and full-scale liberalization at the national scale in South Korea; hence, the state has pursued "spatially selective liberalization"—more specifically, the special economic zone project—as a way of circumventing oppositions to neo-liberal reform.

[5] The FEZ project has been criticized not only by anti-neoliberalism groups, but also by some proponents of neo-liberal reform. Opposing to the idea of enhancing liberalization in only selected areas, they have insisted on the urgency of implementing a broad range of liberalization reform measures. William Oberlin, the president of the American Chamber of Commerce in Korea, for example, urged: "the chamber as a whole prefers the idea of making all of Korea a 'special economic zone' as opposed to designating just a few specific areas" in an interview with *Korea Herald* ("AmCham head says finances key to hub project", 2003).

In addition, I have shown in this paper that dynamic interplay between the inherited and emergent regulatory projects has persisted, and it has significantly influenced the actual content of the special economic zone project in South Korea. In particular, it has been demonstrated that the current locations of special economic zones in Incheon, Gwangyang and Busan were the outcomes of dialectical interactions between the inherited spatial selectivity of the "developmental state" and the new neo-liberal spatial strategies. Also, due to the strong tendencies of path dependency, the special economic zones have been constructed as "hybrid spaces" composed of neo-liberalization and state-led industrial development, rather than truly neo-liberal spaces. The direction of this special economic zone project, however, is still uncertain due to continuing political battles with respect to the nature of the project.

In conclusion, I have suggested in this paper that the processes of neo-liberalization are deeply influenced by political struggles and negotiations among various social and political forces. In particular, I have highlighted the significance of the properties of path dependency in the politically contested processes of neo-liberalization. More specifically, I argue that the processes of neo-liberalization would have strong features of uneven "spatial" development due to the dialectical interplay between the past and new changes. In such situations of "spatially selective" liberalization, the state may impose different regulatory rules or institutions on (spatially) differentiated segments of people, thereby, facilitating the rise of "graduated sovereignty".

Acknowledgement

I am grateful to James D. Sidaway and three anonymous reviewers for their helpful and encouraging comments for this work. I would also like to thank participants in the session at the Third International Convention of Asia Scholars (held in Singapore in 2003) on "Beyond Boundaries: Alternative Political Geographies" where this paper was first presented. Responsibility for the final form and content of this paper rests with the author alone.

References

Agnew, J. (1994). The territorial trap: the geographical assumptions of international relations theory. *Review of International Political Economy*, *1*(1), 53–80.

AmCham head says finances key to hub project. (2003). *Korea Herald*, *22 February*. Available online: http://www.kinds.or.kr.

Amsden, A. H. (1990). Third world industrialization: global Fordism or a new model? *New Left Review*, *182*, 5–31.

Amsden, A. H., & Euh, Y. D. (1993). South Korea's 1980's financial reform: good-bye financial repression (maybe), hello new institutional restraints. *World Development*, *21*, 379–390.

An SEZ dilemma. (2002). *Korea Herald*, *14 November*. Available online: http://www.kinds.or.kr.

Bishop, B. (1997). *Foreign direct investment in Korea: The role of the state*. Aldershot, U.K.: Ashgate.

Bishop, B. (2001). The liberalization of foreign direct investment policy in Korea. In O. Y. Kwon, & W. Shepherd (Eds.), *Korea's economic prospects: From financial crisis to prosperity* (pp. 266–280). Cheltenham, U.K.: Edward Elgar.

Blueprint for NE Asian Hub, survival for Korea. (2002). *Korea Times*, *4 April*. Available online: http://www.kinds.or.kr.

Brenner, N. (2003). 'Glocalization' as a state spatial strategy: urban entrepreneurialism and the new politics of uneven development in Western Europe. In J. Peck, & H. W. Yeung (Eds.), *Remaking the global economy: Economic–geographical perspectives* (pp. 197–215). London: Sage.

Brenner, N., & Theodore, N. (2002). Cities and the geographies of "Actually Existing Neoliberalism". *Antipode*, *34*(3), 349–379.

Business hub plan to focus on IT. (2003). *Korea Times*, *19 January*. Available online: http://www.kinds.or.kr.

Cerny, P. (in press). Neoliberalism. Routledge encyclopaedia of international relations.

Chang, H. J. (1998). Korea: the misunderstood crisis. *World Development*, *26*, 1555–1561.

Cho, M.-R. (1991). *Political economy of regional differentiation*. Seoul: Hanul.

Choi, S.-M., & Yoon, M.-Y. (2002). *Race to more liberalization, race to the bottom: A look into the liberalization process and its effects in Korea*. Policy and Information Center for International Solidarity. Available online: http://picis.jinbo.net/English/anti-neoliberal/liberalisation1009.htm.

Cox, K. R. (2005). Local: global. In Cloke, P., & Johnston, R. J. (Eds.). *Spaces of geographical thought: Deconstructing human geography's binaries*. London: Sage.

Dicken, P., Peck, J., & Tickell, A. (1997). Unpacking the global. In R. Lee, & J. Wills (Eds.), *Geographies of economies* (pp. 158–166). London: Arnold.

Gills, B. K., & Gills, D. S. (2000). Globalization and strategic choice in South Korea: economic reform and labor. In S. S. Kim (Ed.), *Korea's globalization* (pp. 29–53). Cambridge: Cambridge University Press.

Glassman, J. (1999). State power beyond the 'territorial trap': the internationalization of the state. *Political Geography*, *18*, 669–696.

Heaven and hell in Korea. (2002). *Korea Times*, *10 April*. Available online: http://www.kinds.or.kr.

Henderson, J. (1998). Uneven crises: institutional foundations of East Asian economic turmoil. *Transnational community working paper, WPTC-98-13*. Oxford, U.K.: University of Oxford, Faculty of Anthropology and Geography.

Is Korea Attractive for Business? (2001). *Korea Times*, *24 June*. Available online: http://www.kinds.or.kr.

Jessop, B. (1990). *State theory: Putting capitalist states in their place*. University Park: Pennsylvania State University Press.

Jessop, B. (1994). Post-Fordism and the state. In A. Amin (Ed.), *Post-Fordism: A reader* (pp. 251–279). Oxford: Blackwell.

Jones, M. R. (1997). Spatial selectivity of the state? The regulationist enigma and local struggles over economic governance. *Environment and Planning A*, *29*, 831–864.

Kim, Y. C., & Moon, C.-I. (2000). Globalization and workers in South Korea. In S. S. Kim (Ed.), *Korea's globalization* (pp. 54–75). Cambridge: Cambridge University Press.

Korea's new vision: hub plan needs to focus on logistic infrastructure construction. (2002). *Korea Herald*, *1 July*. Available online: http://www.kinds.or.kr.

KRIHS (Korea Research Institute for Human Settlement). (1996). *National land 50 years: Prospect and retrospect in preparing the 21st century* (in Korean). Seoul: Seoul Press.

Labor Threatens Strike Against Law on Special Economic Zones. (2002). *Korea Times*, *8 November*. Available online: http://www.kinds.or.kr.

Lee, E.-O., & Park, J.-R. (2003). Why do we need special economic zones? (in Korean) In D.-W. Nam (Ed.), *Special economic zone: A survival strategy for Korean economy* (pp. 35–74). Seoul: Samsung Economic Research Institute.

MacKinnon, D., & Phelps, N. A. (2001). Devolution and the territorial politics of foreign direct investment. *Political Geography*, *20*, 353–379.

MacLeod, G. (2001). New regionalism reconsidered: globalization and the remaking of political economic space. *International Journal of Urban and Regional Research*, *25*(4), 804–829.

Ministry of Finance and Economy, Republic of Korea (2003). Free economic zones in Korea: The future of Northeast Asia. Available online: http://www.mofe.go.kr.

Ong, A. (2000). Graduated sovereignty in South-East Asia. *Theory, Culture and Society*, *17*(4), 55–75.

Park, B.-G. (1998). Where do tigers sleep at night? The state's role in housing policy in South Korea and Singapore. *Economic Geography*, *74*(3), 272–288.

Park, B.-G. (2001). Labor regulation and economic change: a view on the Korean economic crisis. *Geoforum*, *32*, 61–75.

Park, B.-G. (2003). Politics of scale and the globalization of the South Korean automobile industry. *Economic Geography*, *79*(2), 173–194.

Passi, A. (2003). Territory. In J. Agnew, K. Mitchell, & G. Toal (Eds.), *A companion to political geography* (pp. 109–122). Malden, USA: Blackwell.

President-Elect Roh Advised to Focus on Financial Hub. (2003). *Korea Times*, *16 February*. Available online: http://www.kinds.or.kr.

Songdo to be developed into IT research hub. (2003). *Korea Times*, *28 January*. Available online: http://www.kinds.or.kr.

Swyngedouw, E. (1997). Neither global nor local: 'glocalization' and the politics of scale. In K. Cox (Ed.), *Spaces of globalization: Reasserting the power of the local*. New York: Guilford.

Three Areas in Incheon—Yeongjongdo, Songdo, and Kimpo—will be designated as a special economic zone next year (in Korean). (2002). *Chosun Daily*, *5 April*. Available online:. http://www.kinds.or.kr.

United Nations Conference on Trade and Development (2001). *World investment report*. New York: United Nations.

Woo-Cumings, M. (2003). Three mirrors for Korea's future (in Korean). *Changjakwa Bipyeong*, *summer* (No. 120), 12–27.

Yeung, H. W.-C. (2002). The limits to globalization theory: a geographical perspective on global economic change. *Economic Geography*, *78*, 285–305.

Yim, S.-H. (2003). Industrial restructuring for global competition and uneven regional development in South Korea. *Paper presented in a workshop on "Global challenge and local response: a comparison between Singapore, Malaysia and South Korea"*. National University of Singapore, Singapore. 10–11 October 2003.